

440.463 – Economics of Investments and Financial Management

Dr Eymen Errais

Yitong Zhang, Peihua He, Anzi Yao, Tracy Wang

March 21, 2026

COLOMBUS CAPITAL TRADING STRATEGY FOR NYSE STOCKS

PROJECT DESCRIPTION

We develop a trading strategy for NYSE stocks over a 3-month horizon

- In the first milestone, we choose 20 stocks in the NYSE
- We adapt a top-down investment approach to find attractive sectors and stocks



TOP-DOWN
INVESTMENT STRATEGY:
MACROECONOMIC
ENVIRONMENT

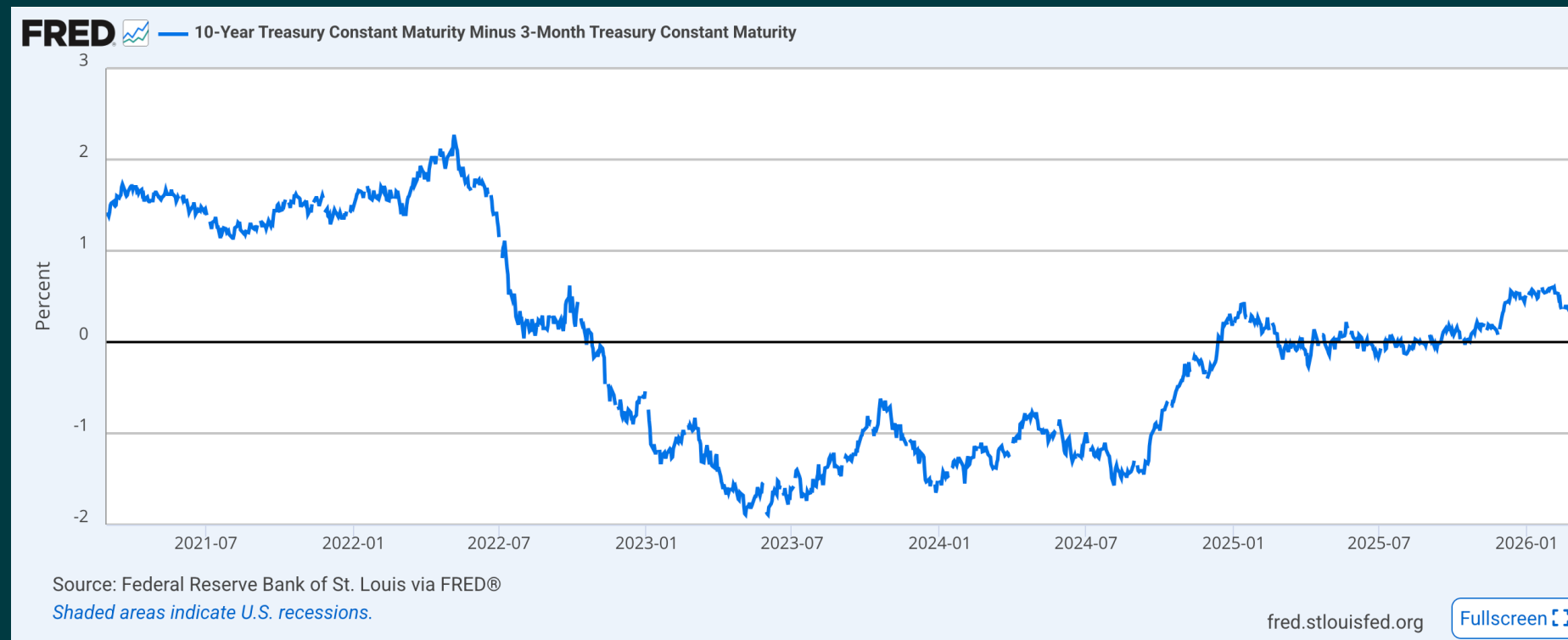
MACROECONOMIC ENVIRONMENT

FRED

- T10Y3M
- Initial Claims
- Consumer Sentiment

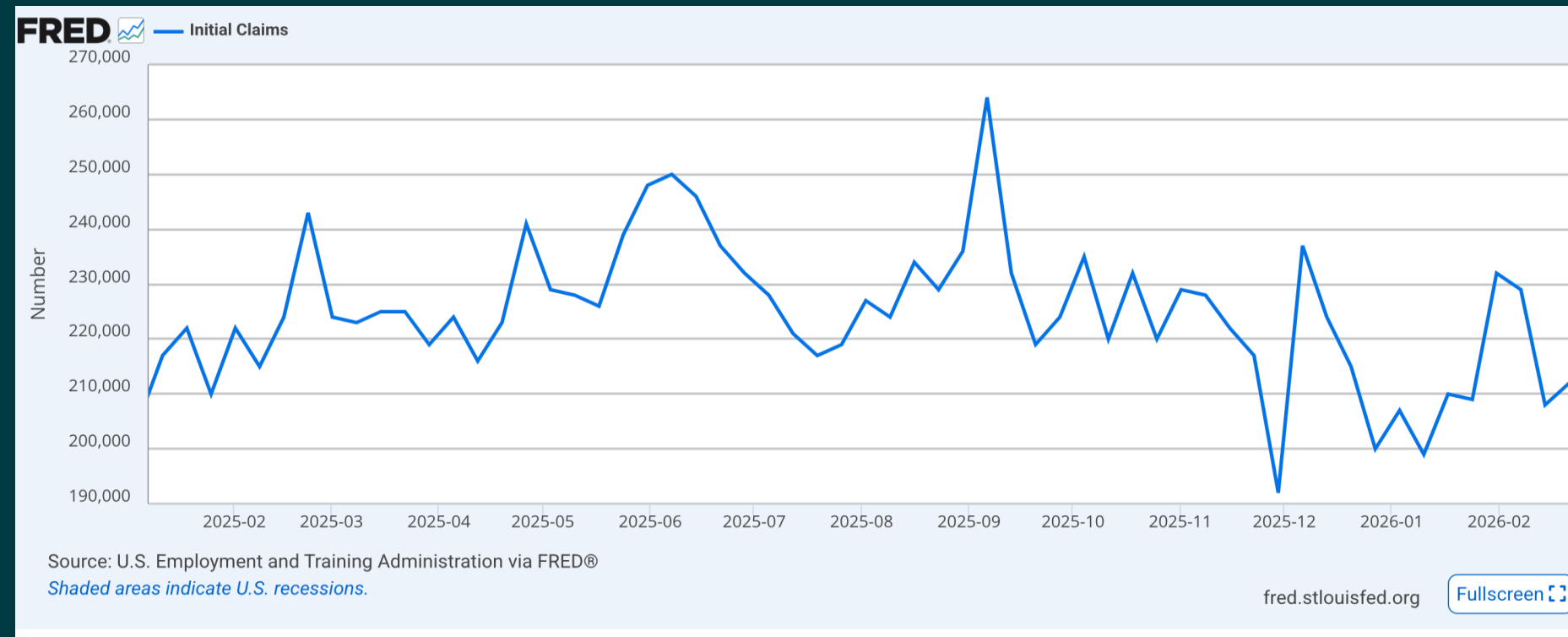
MACROECONOMIC ENVIRONMENT

FRED: T10Y3M Plot



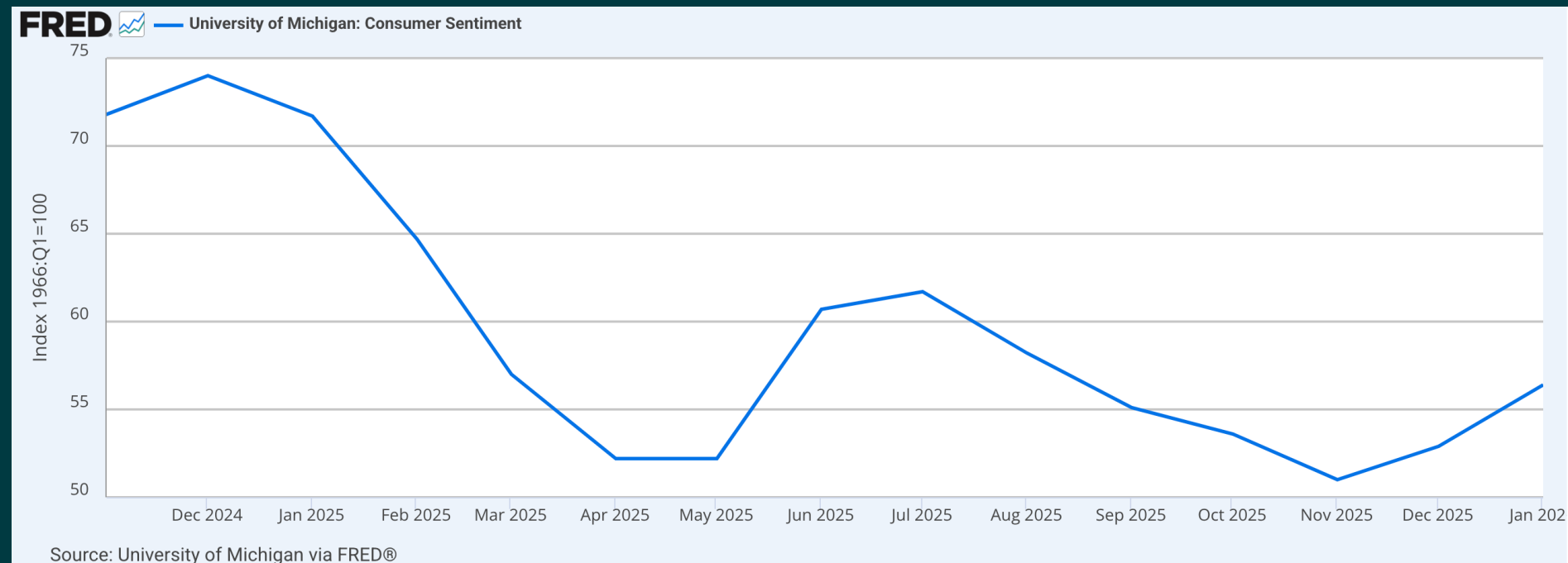
MACROECONOMIC ENVIRONMENT

FRED: Initial Claims



MACROECONOMIC ENVIRONMENT

Consumer Sentiment



MACROECONOMIC INDICATORS

- Yield curve gradually normalizing after recession
- Labor market relatively stable
- Consumer sentiment slightly recovering

The economy: in a late expansion phase

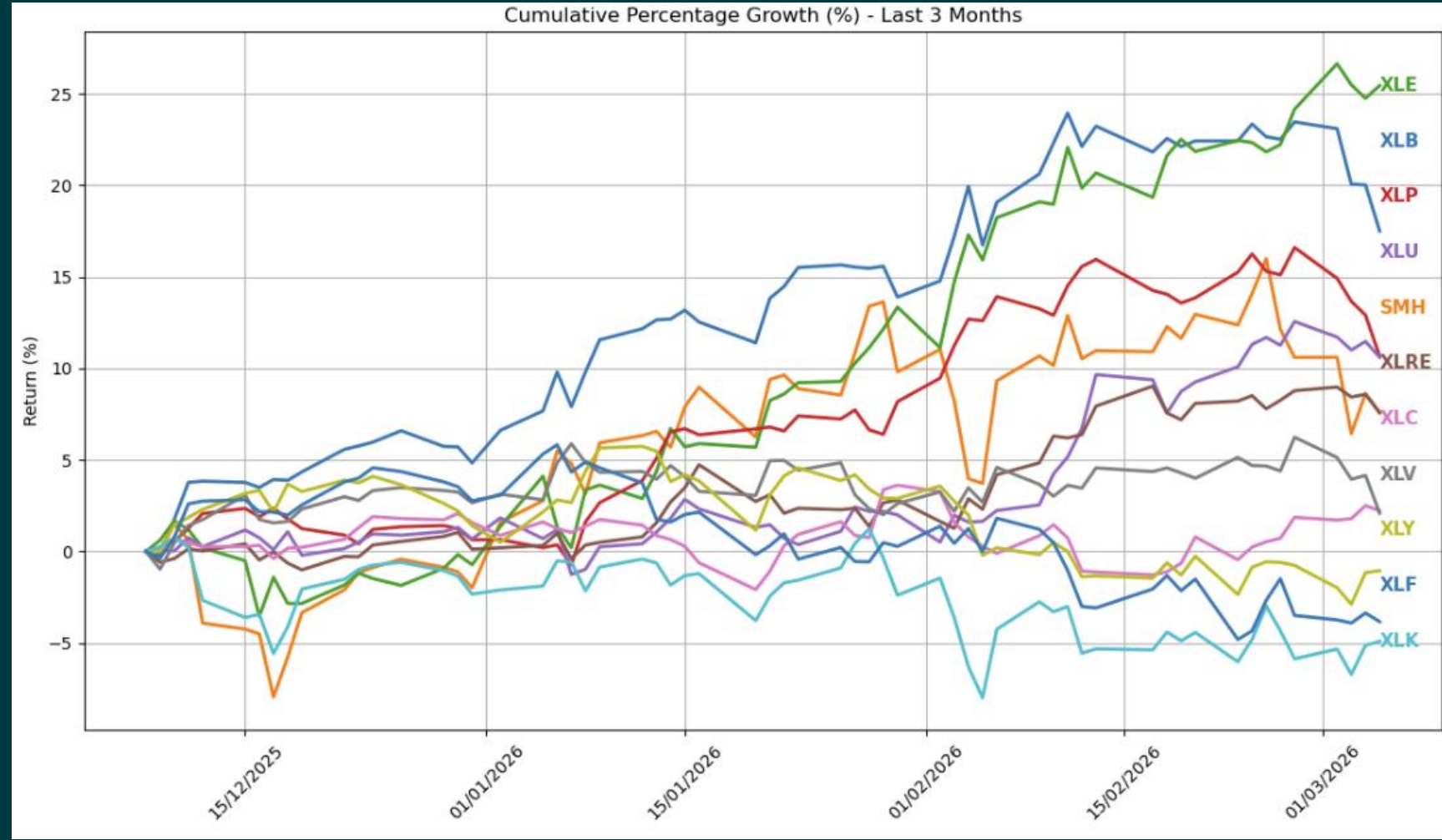
IMPLICATIONS FOR SECTOR & ASSET ALLOCATION

- Slow economic growth
- Persistent inflation pressure
- Increasing market volatility

Therefore, cyclical sectors may still perform well,
but defensive sectors are important for risk control.

TOP-DOWN
INVESTMENT STRATEGY:
SECTOR ALLOCATION

ETF PERFORMANCE



SECTOR MOMENTUM

Strong sectors:

- Materials (XLB)
- Energy (XLE)
- Semiconductors (SMH)
- Consumer Staples (XLP)

SECTOR MOMENTUM ANALYSIS

The strength in Consumer Staples suggests:

- Increasing demand for defensive assets
- A potential transition toward a late-cycle or pre-recession environment

To enhance portfolio stability, we also include:

- Healthcare (XLV) as a defensive sector

ATTACK VS DEFENSE

Type	Sector
Attack	Materials
Attack	Energy
Attack	Semiconductors
Defense	Consumer Staples
Defense	Healthcare

SECTOR EXPANSION & GEOPOLITICAL CONSIDERATION

Geopolitical factors:

- Russia–Ukraine conflict
- Rising tensions in the Middle East (Israel–Iran)

Importance of Industrials sector:

- Infrastructure investment
- Supply chain restructuring
- Rising global defense spending

SECTOR EXPANSION & GEOPOLITICAL CONSIDERATION

Impact:

- Increase demand for energy & defense-related industries
- Create upward pressure on oil prices
- Strengthen the outlook for Energy & Industrials sectors

Therefore, we maintain a bullish stance on energy-related assets, while balancing risk with defensive sectors.

STOCK SELECTION STRATEGY

From the selected sectors: Materials, Energy, Semiconductors, Consumer Staples, Healthcare

We select:

- 4 largest market-cap companies in each sector
- Industry leaders with strong fundamentals

Each stock is evaluated based on:

- Market capitalization, Financial performance, Growth potential, and Risk exposure

20 STOCKS

Sector	Stocks
Materials	BHP, LIN, APD
Energy	XOM, CVX, COP, SHEL
Semiconductors	NVDA, TSM, ASML, AVGO
Industrials	CAT, RTX
Consumer Staples	PG, PEP, WMT, COST
Healthcare	JNJ, ABBV, LLY

20 STOCKS SELECTION

Portfolio Philosophy:

Cyclical + Defensive + Geopolitical Hedge

Industrials exposure is partially captured through companies within selected sectors (e.g., energy infrastructure, semiconductor manufacturing supply chains)

Our portfolio is not only driven by market momentum but also adjusted based on macroeconomic signals and geopolitical risks.